

Chapter 3. The strategy of the firm

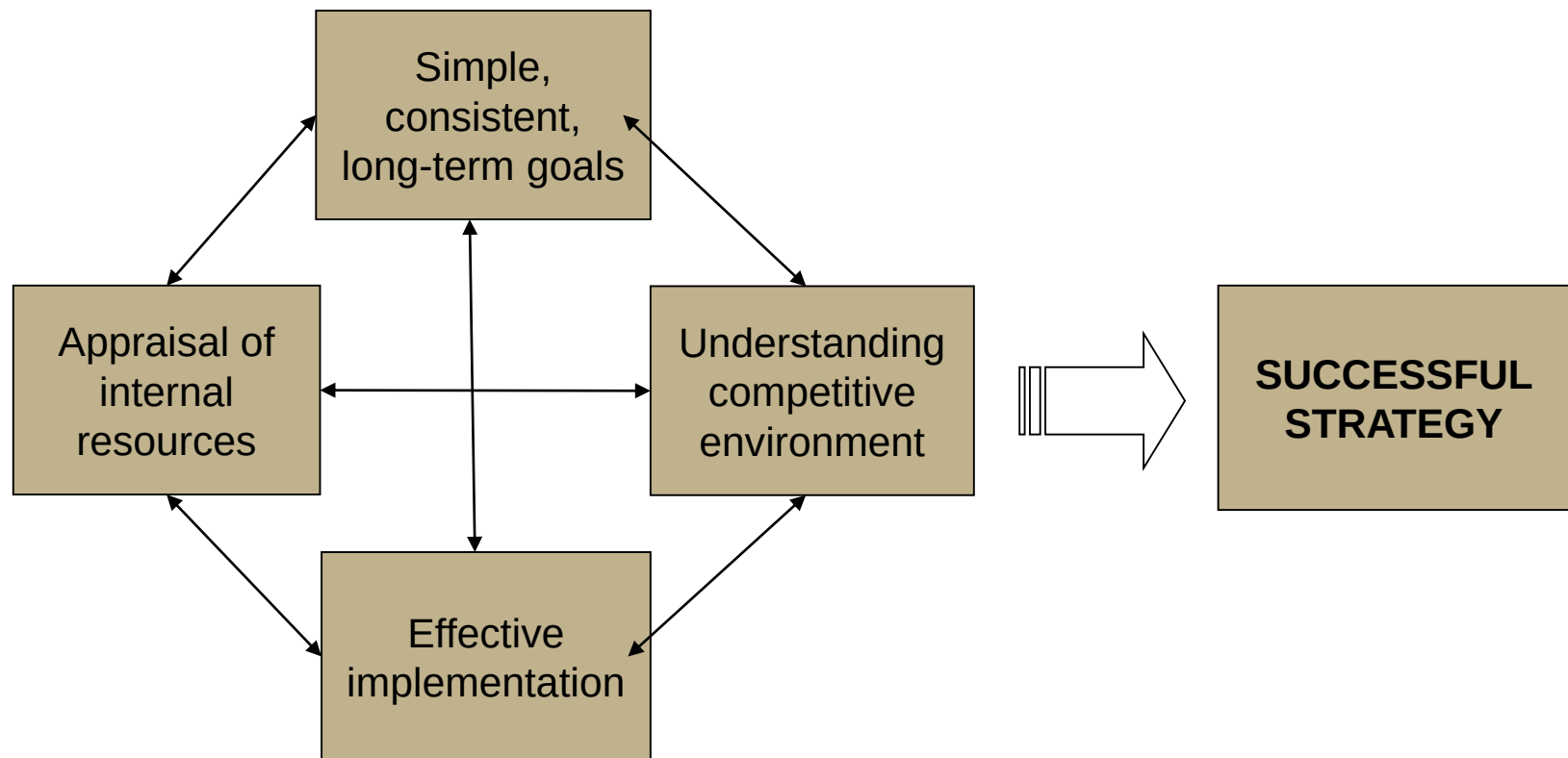
WHAT WILL YOU LEARN

1. What comprises a strategy and its importance concerning firm success.
2. To identify the most suitable competitive strategies according to the characteristics of each firm.
3. To use information from different sources to interpret strategies.
4. To identify the different forms of growth.



3.1. Strategic management

DEFINITION OF STRATEGY



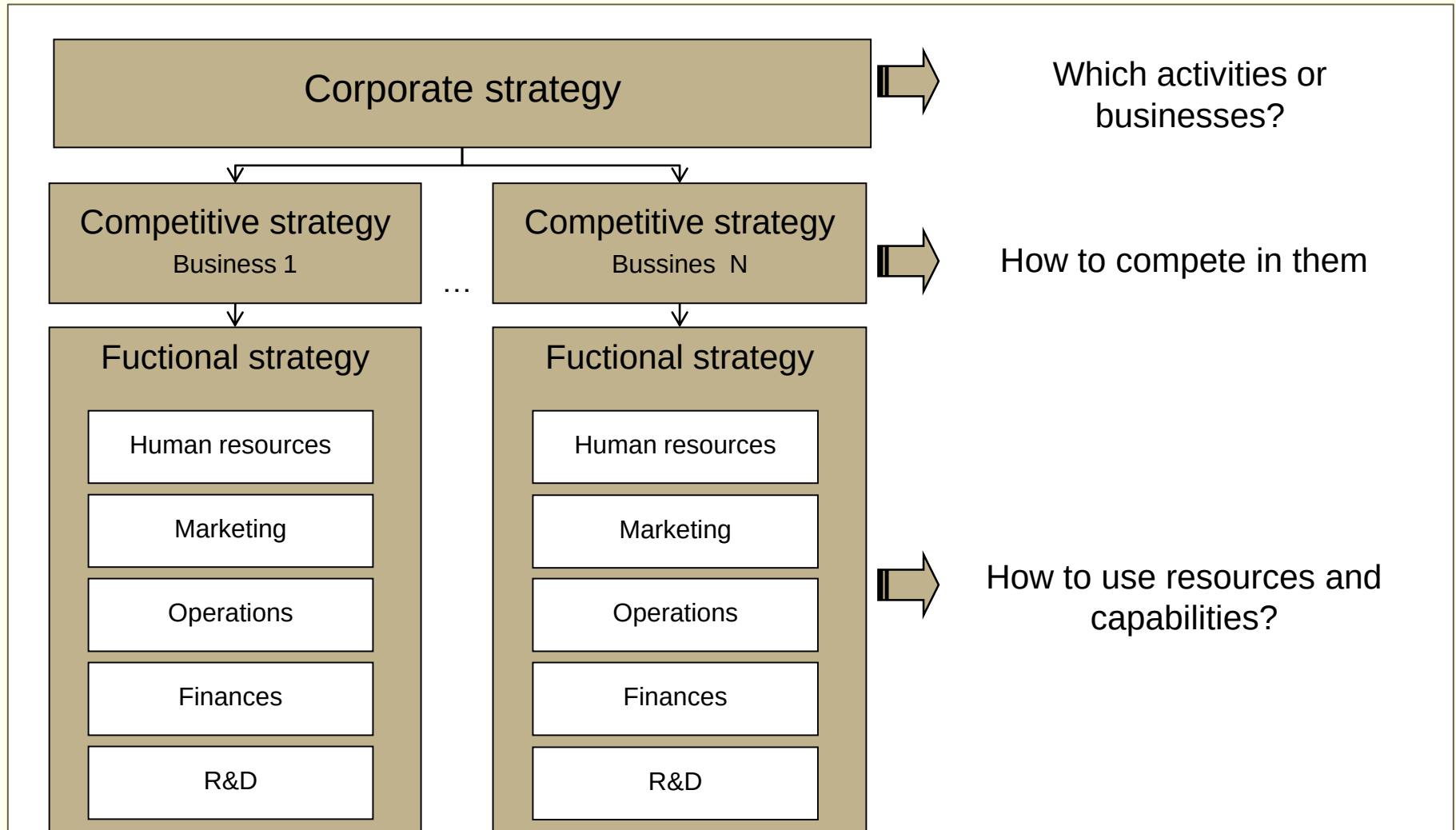
3.1. Strategic management

LEVELS OF STRATEGY

- Firms that work in wide range of fields and businesses cannot develop a single strategy for all of them.
- Three major levels of strategy are normally defined :
 - **Corporate strategy:**
 - It establishes the businesses the firm is or want to be.
 - The creation of **synergies** between the businesses that a firm is in is essential at this level (“2+2>4”).
 - **Competitive strategy:**
 - It determines how best to compete in a set of activities or businesses
 - It establishes the competitive position in each business.
 - **Functional strategies:**
 - It focus on how to perform activities efficiently within each of a firm's functional areas
 - It decides how to use and share the resources and capabilities.

3.1. Strategic management

LEVELS OF STRATEGY



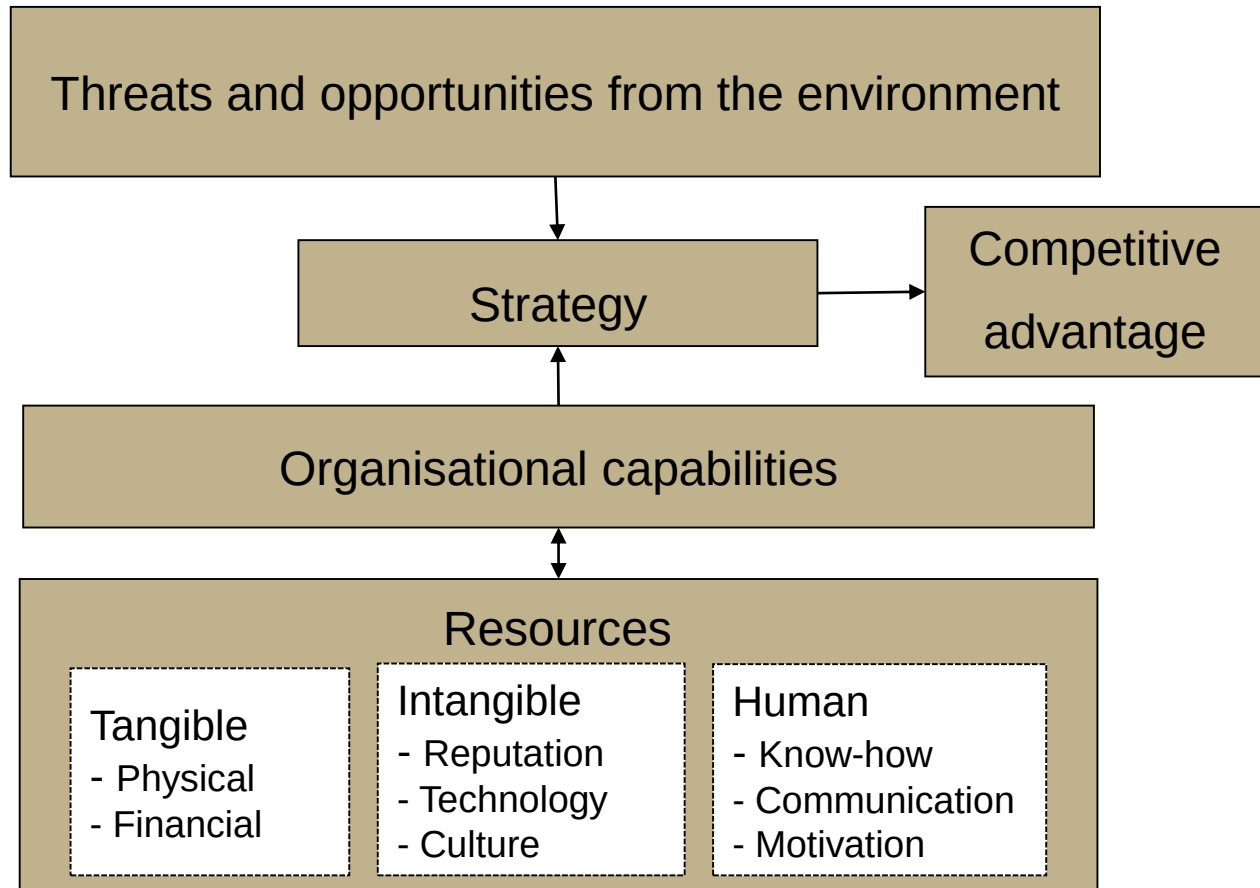
3.2. Competitive positioning

RESOURCES, CAPABILITIES AND COMPETITIVE ADVANTAGE

- The **SWOT analysis** is a very popular tool which shows the threats and opportunities of the environment, and the weaknesses and strengths that the firm internally has (Chapter 1).
- The Resource-Based View analyses the internal characteristics of the firm as a source of competitive advantage, considering the following elements:
 - **Resources** are individual assets that it has at its disposal and controls. These may be tangible, intangible and human resources.
 - **Capabilities** are specific combinations of resources that endow a firm with "know-how" in different activities.
- Resources and capabilities are of greatest value when the competition does not have them (sustainable difference), being a key aspect to protect them from competitors.
- Also, they must be linked to key success factors for the industry.

3.2. Competitive positioning

RESOURCES, CAPABILITIES AND COMPETITIVE ADVANTAGE



3.2. Competitive positioning

BUSINESS STRATEGIES

- There are two major business strategies:
 - **Cost leadership:**
 - It offers products in the same category at lower cost than its competitors
 - Relies on economies of scale, low cost access to raw materials, reduced overhead costs, simplifying products and their production, etc.
 - **Product differentiation:**
 - It product or service highly valued and perceived as unique by customers and which, consequently, they are willing to pay a higher price for.
 - There are different sources of differentiation such as prime location, great quality, innovative design, complementary resources, etc.
- Firms define their competitive position bearing both: cost and the value added.
 - The further the difference in cost or value added from their competitors, the more profits the firm would be.
 - Firms that achieve lower costs than their rivals and also generate greater value added, would gain a “dual advantage”.

3.2. Competitive positioning

BUSINESS STRATEGIES

- Another way to view competitive positioning is on the basis of what are known as **business models**.
- Each firm defines its business model, in which it decides who, in the entire market, its customers are going to be and what the firm is going to offer that they will value.
- The idea is to identify "how the business works", how a firm manages to obtain income and what the chief costs drivers are.
- A firm's resources and capabilities are its most important elements.

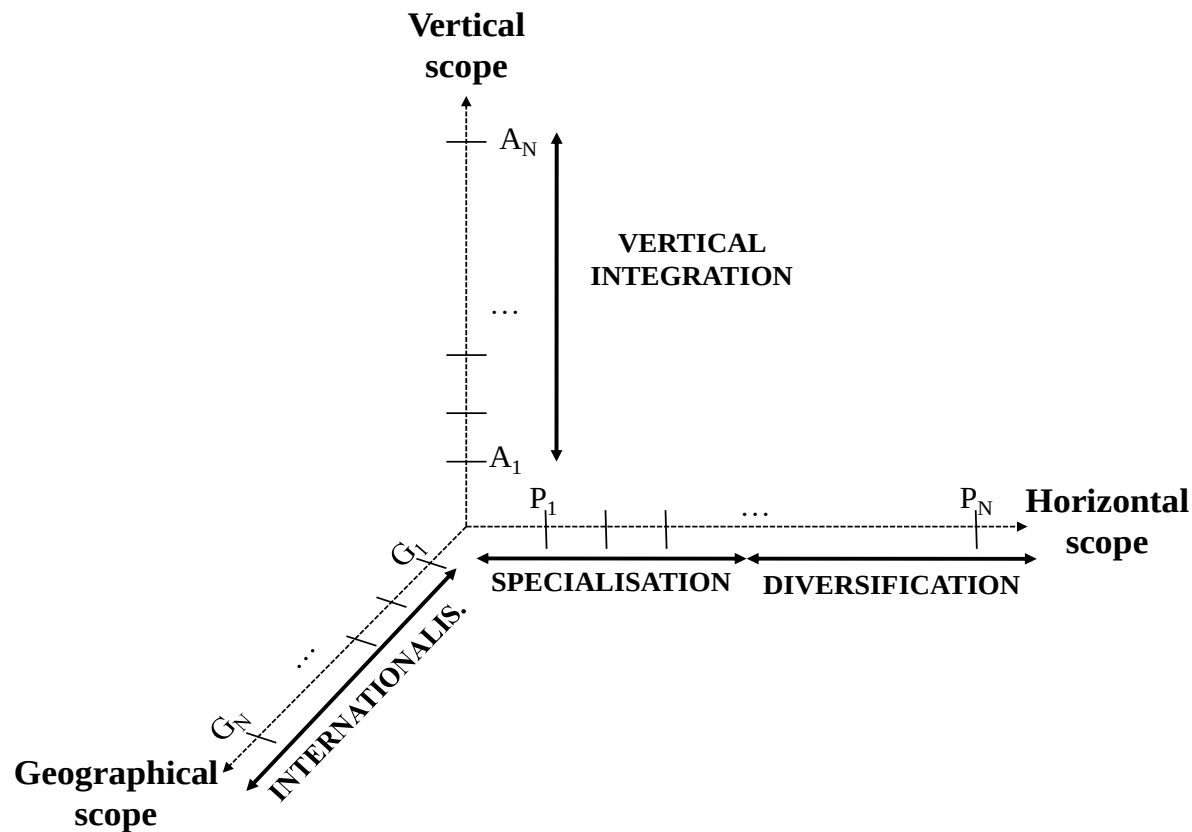
3.3. Corporate scope

DEFINITION OF SCOPE

- It chooses the businesses or activities in which it wishes to compete.
- it being possible to opt for three different alternatives:
 - **Vertical:** the set of activities related to the production process that a firm performs.
 - **Horizontal:** variety and heterogeneity of the products that a firm offers.
 - **Geographical:** physical spread of a firm and its current or initial location.
- Firms modify their scope fairly often, which implies:
 - The growth of the firm by vertical integration, specialisation, diversification or internationalization.
 - Restructuring by recovering some activities, or get rid of them by selling or winding them up.

3.3. Corporate scope

SCOPE AND STRATEGIES OF THE FIRM



3.3. Corporate scope

SPECIALISATION

- It is determined by the horizontal scope. It is associated with a **low variety and high homogeneity** of the products:
 - They all aim to meet very similar customer needs.
 - These firms remain within fields that they know well because the products they work with require very similar knowledge, skills and resources.
 - The competition is the same for all the products they offer.
- The firm has "single-business" or a "dominant-business".
 - By remaining specialised, a firm may :
 - Try to consolidate its position in the markets and strengthen its competitive position in the industry (lower costs or more value added).
 - Increasing sales by increasing the use of their existing products, seek out new customers, introduce certain improvements in the products, etc.
 - It can be considered low risk strategy, although it is not possible to remain specialised in industries of high competition or which homogeneous customer needs.

3.3. Corporate scope

DIVERSIFICATION

- It is determined by the horizontal scope. It is associated with a **high variety and low homogeneity** of the products:
 - They aim to meet different customer needs.
 - The products they work with require different knowledge, capabilities and resources.
 - The competition is different for all the products they offer.
- Although it requires of new knowledge, capabilities and resources, firms can create synergies by offering:
 - New products to similar clients by employing the same brand, reputation, distribution channel, etc.
 - Different products that involve similar technology, based on the same patents, staff training, production facilities, research, etc.
- Whether or not there are synergies between business, it is called:
 - Related diversification.
 - Unrelated diversification.

3.3. Corporate scope

DIVERSIFICATION

- **Another reasons** why firms diversify are:
 - Improve the competitive position of the firm
 - Enter attractive industries.
 - Lower the risk.
 - Obtain internal funding.
 - Exploit managerial abilities.
- Diversification has turned out to be a strategy that tends to make firms more **profitable**, though this depends on the synergies created.
- Possible **problems**:
 - The creation of synergies calls for great effort in terms of coordination and commitment.
 - It may lead to greater inflexibility.
 - The other reasons for diversification can have a high cost: entry barriers, high cost of internal funding, etc.

3.3. Corporate scope

VERTICAL INTEGRATION

- A firm is vertically integrated if it undertakes several of activities related with the **production process**.
- Its main **advantages** are:
 - Easy coordination and planning of the production process.
 - Reduce the opportunism risk from external providers and clients.
 - Increase the value added for customers: a high level of quality or services can be guaranteed.
 - Protect information and knowledge regarding advance technology or new products.
 - Improve firms' capacity to control the final market.
- It may also entail a set of **drawbacks**:
 - Augment the risk of undertaking activities for the same final market.
 - Firms may become more inflexible.
 - It increases costs due to administrative costs, the lack of previous experience in vertically related activities and a low production scale in each activity.

3.3. Corporate scope

INTERNACIONALIZATION

- Firms broaden their geographical scope in order to enter new countries.
- When the volume of business is high and production work is performed and/or services are provided in different countries, then the **firm** is said to be **multinational** (MNC).
- **Factors** that lead to internationalisation: Search for demand, access to resources, greater scale, reduce risk, follow customers, etc.
- Strategic decisions:
 - Foreign market entry modes.
 - Strategies to compete internationally.

3.3. Corporate scope

FOREIGN MARKET ENTRY MODES



3.3. Corporate scope

STRATEGIES TO COMPETE INTERNATIONALLY

- **Global strategy:** the world is seen as a single market and countries as different segments or parts of it. Firms seek to concentrate their activities at those locations where they prove most efficient.
- **Multidomestic strategy:** firms compete at each national level, setting their competitive position according to the specific features of demand and local competitors.
- **Transnational strategy:** firms aim to adapt on a major scale to each country they do business in, but also make the most of enhanced efficiency by operating in several countries. “Think globally, act locally”.

3.4. Methods of growth

ALTERNATIVE FORMS OF GROWTH

- Growth implies a firm increasing its size in some way, such as a greater number of employees, owning more assets, dealing with more customers, increasing sales, etc.
- Firms can grow in three ways :

INTERNAL GROWTH

- Internal development of resources and capabilities
- Low risk of knowledge spillovers
- High resource commitment

MERGERS & ACQUISITIONS

- External access to resources and capabilities
- Low risk of knowledge disclosure
- High resource commitment

ALLIANCES

- External access to resources and capabilities
- High risk of knowledge disclosure
- Low resource commitment

3.4. Methods of growth

INTERNAL GROWTH

- A firm grows internally when it makes investments in its own structure that lead to the **creation of production capacity** that did not previously exist in the economy.
- It is also called “organic” or “natural” growth.
- Firms opt for internal growth for the following **reasons**:
 - The firm wishes to undertake new products or markets internally in order to develop the resources and capabilities required within the firm itself.
 - They seek greater proximity to customers in order to learn the characteristics of the market they are going to enter in.
 - The investments needed in order to grow can be distributed over time.
 - Firms can learn in a progressive adaptation, and selecting those people, assets or machinery best suited to the firm.
- Over recent years, however, internal growth has been accompanied by other forms of growth called external growth.

3.4. Methods of growth

MERGERS AND ADQUISITIONS

- Firms buy totally or partially another firm:
 - **Acquisition**, in which case one firm (the acquiring firm or acquirer) acquires completely or partially another firm (target).
 - **Merger by absorption**, when one firm transfer all their assets and liabilities to another existing company and then is dissolved.
 - **Pure merger**, when the merger leads to the creation of a new firm that amalgamates the two previous ones.
- The main difference between mergers, and acquisitions is that with mergers the firms' assets are combined, i.e. the two firms compound their production, organisational, cultural and other activities.
- Mergers and acquisitions have a number of **advantages**:
 - Firms can control of the resources and capabilities of other firms that improve their efficiency
 - They do not increase production capacity in the industry
 - It is a quick way to grow.

3.4. Methods of growth

ALLIANCES

- Alliances are **stable agreements** between two or more independent firms establishing a certain degree of interconnection.
- The partners must adopt a **suitable attitude**, involving mutual trust, commitments to perform the functions assigned to them and a certain degree of flexibility in order to adapt to the characteristics, practices and aptitudes of the other partners.
- **Advantages:**
 - Access the other firms' resources and capabilities.
 - They become more efficient and more flexible as a whole than they each would on their own.
 - They reduce the risk and uncertainty associated with the activity.
 - Partners can control the evolution of the industry.
 - It is easier to pull out.
- **Drawbacks:** lose competitive advantage, less independence, coordination problems, lack of resources, etc.

Useful links

- Boston Consulting Group (www.thebostonconsultinggroup.es), Deloitte (www.deloitte.com): PriceWaterhouseCoopers (www.pwc.com), etc. Consulting firms specializing in business strategy for senior management that advise firms, produce sectoral reports and publish market trend analyses.
- Expansión (www.expansión.com), Cinco Días (cincodias.com): daily newspapers that provide information on business strategies, changes in management, information relevant to the economy, etc.
- Instituto Español de Crédito Exterior (www.icex.es): an institute attached to the Ministry of Industry, Tourism and Trade's State Secretariat for Foreign Trade. It offers its services to Spanish firms to promote their exports and help them set up abroad.
- Institute for Strategy and Competitiveness (www.isc.hbs.edu): an institute led by Michael Porter and based at the Harvard Business School that studies competition and its implications for company strategy.